

Unlocking Customer Value Through Behavioural Segmentation

RFM Analysis — Customer Intelligence Report

Analysis across 100 customers | 8 of 11 behavioural segments present | 3-year CLV horizon

Executive Summary

Three findings define the commercial opportunity in this customer base

01 Champions & Loyal represent 15% of customers but deliver 40% of total portfolio CLV

15 customers — avg CLV \$1,412 (Champions) and \$832 (Loyal). Protecting and deepening these relationships is the highest-return priority.

02 40% of the base shows lapsing signals — representing recoverable CLV at risk

40 customers across Hibernating, Lost, At Risk, and Can't Lose Them segments. Targeted win-back programmes could recapture a meaningful share of this value before permanent churn.

03 40% of customers are in early-stage growth segments with conversion potential

40 customers across New Customer, Promising, and Potential Loyalist. Structured onboarding and loyalty nudges can migrate these cohorts toward higher-value segments.

Methodology

RFM scoring translates transactional data into actionable behavioural profiles

1

R — Recency

Days since the last purchase.
More recent scores higher.
Ranked by percentile.

2

F — Frequency

Number of purchases.
1 purchase scores 1,
5 or more scores 5.

3

M — Monetary

Total spend to date.
Higher spend scores higher.
Ranked by percentile.

4

Segmentation

11 possible segments from the R x F matrix, Champions through to Lost.

5

CLV Estimate

Annual profit, multiplied by the chance they stay, over a discounted 3-year horizon.

Configuration

Input file:	rfm_mockup.csv	Customers analysed:	100	CLV lifespan:	3 years
Margin assumption:	20%	Segments present:	8 of 11	Output file:	rfm_analysis.csv

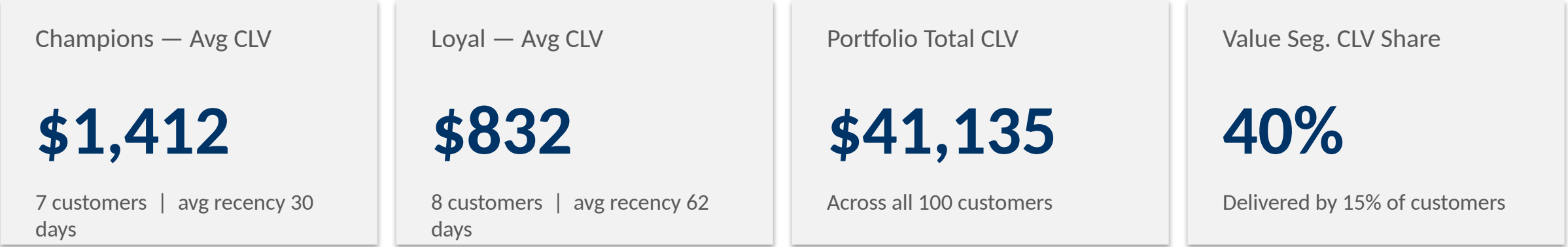
Segment Landscape

100 customers across 8 active segments · \$41,135 total estimated CLV

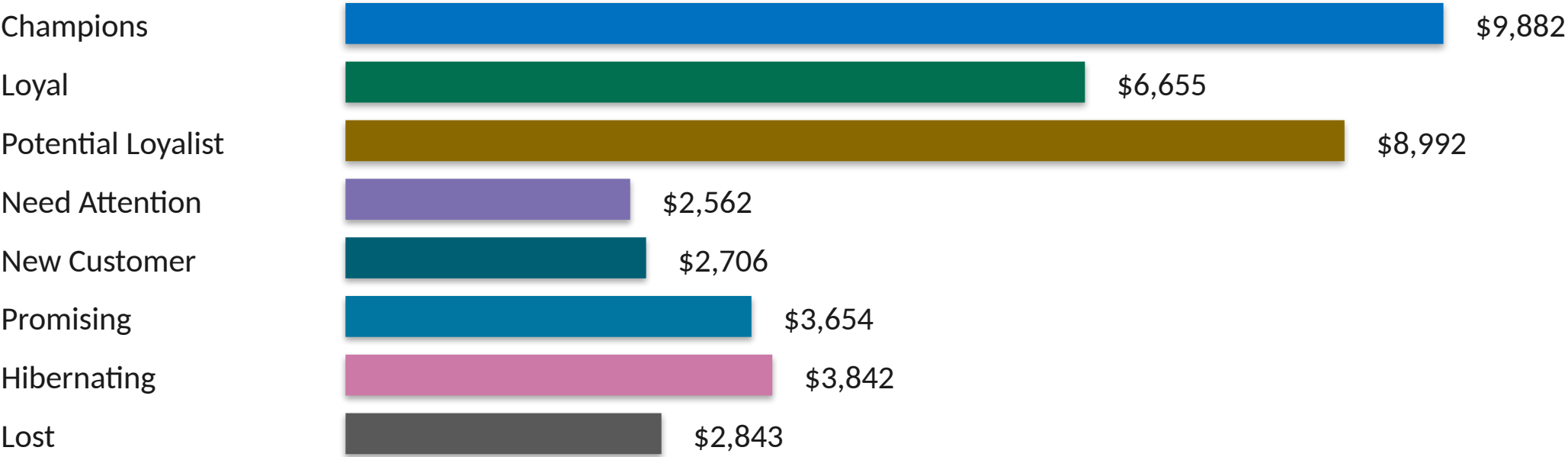
Segment	Customers	Avg CLV	Total CLV	Avg Recency	Priority
Champions	7	\$1,412	\$9,882	30 days	Protect
Loyal	8	\$832	\$6,655	62 days	Reward
Potential Loyalist	15	\$599	\$8,992	67 days	Nudge
Need Attention	5	\$512	\$2,562	134 days	Review
New Customer	10	\$271	\$2,706	88 days	Welcome
Promising	15	\$244	\$3,654	147 days	Onboard
Hibernating	20	\$192	\$3,842	230 days	Re-engage
Lost	20	\$142	\$2,843	333 days	Win back

Where the Value Is Concentrated

Champions and Loyal are 15% of the base and 40% of portfolio CLV — an asset and a risk at once



Total CLV by Segment



The Lapsing Cohort

40% of customers are drifting and \$6,685 of CLV is at risk — the window for intervention is closing

Hibernating

20 customers

Avg CLV: \$192

Total CLV at risk: \$3,842

Avg recency: 230.0 days

Last purchase 193–280 days ago. Single-purchase customers.

High reactivation potential with targeted offer.

Lost

20 customers

Avg CLV: \$142

Total CLV at risk: \$2,843

Avg recency: 333.0 days

Last purchase 280–365 days ago. Lowest recency scores. Selective win-back only — focus on higher CLV profiles.

⚠ Recommended action: Launch a re-engagement sequence within 30 days for Hibernating customers. Prioritise the top quartile by CLV (above \$204). A/B test discount vs. content-led reactivation.

The Growth Pipeline

40% of the base is early-stage — New Customer, Promising and Potential Loyalist are where future CLV is made

New Customer

10 customers

\$271

avg CLV

Avg recency: 88 days

Avg frequency: 1x

Very recent, first purchase only.
Priority: onboarding experience,
second purchase incentive.

Promising

15 customers

\$244

avg CLV

Avg recency: 147 days

Avg frequency: 1x

Recent, 1–2 purchases. Positive
engagement signal.
Priority: loyalty programme
invitation, category expansion.

Potential Loyalist

15 customers

\$599

avg CLV

Avg recency: 67 days

Avg frequency: 2x

2 purchases, moderate recency.
Priority: reward next purchase,
introduce referral mechanic.

Migration target: move Promising and Potential Loyalist customers to Loyal status within 12 months

What the Numbers Could Not See

Still buying normally — and telling us they are unhappy

Customers flagged by language

5

Healthy on every purchase measure

Lifetime value exposed

\$3,502

8.5% of portfolio

Need a person, not a campaign

23

of 100 customers reviewed

Raised a serious problem

21

Something went wrong, unresolved

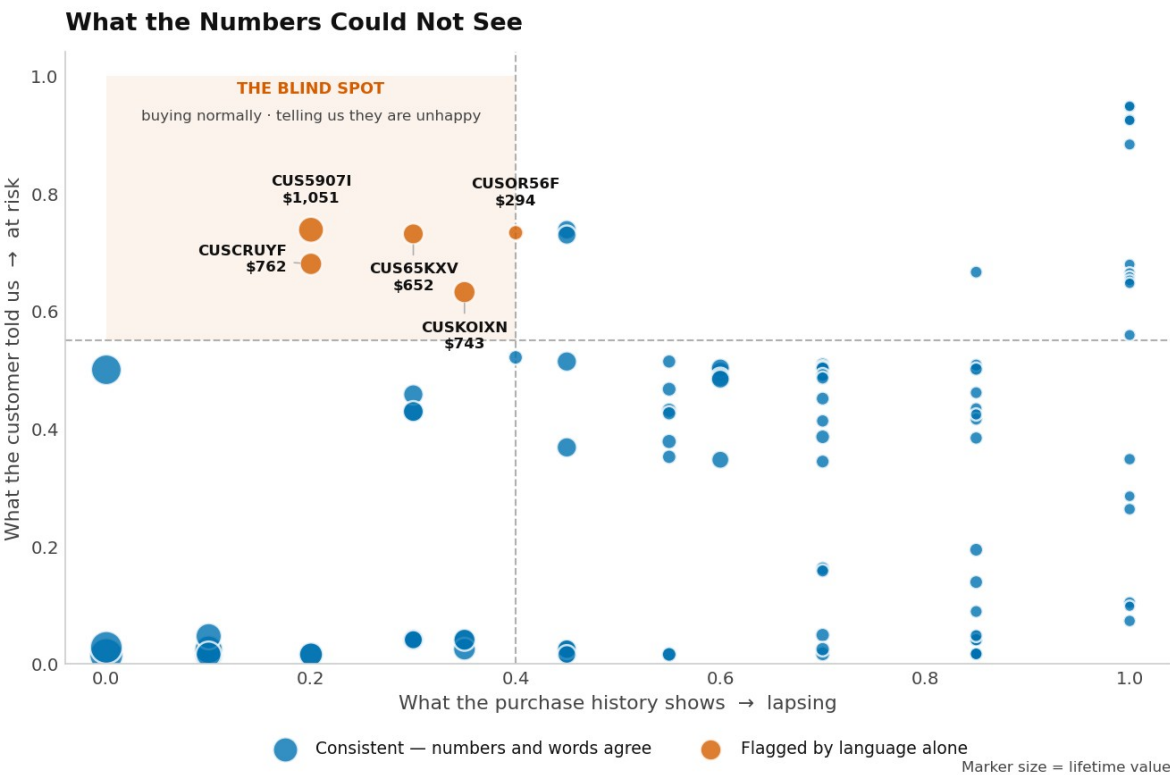
FLAGGED BY WHAT THEY SAID, NOT WHAT THEY BOUGHT

CUSTOMER	SEGMENT	LIFETIME VALUE	WHAT IS DRIVING IT	WHY RFM MISSED THEM
CUS5907I	Loyal	\$1,051	Service	Buying on schedule, failure unresolved
CUSCRUYF	Loyal	\$762	Competitor	Buying, but weighing up a competitor
CUSKOIXN	Loyal	\$743	Service	Buying on schedule, failure unresolved
CUS65KXV	Potential Loyalist	\$652	Service	Buying on schedule, failure unresolved
CUSOR56F	New Customer	\$294	Service	Buying on schedule, failure unresolved

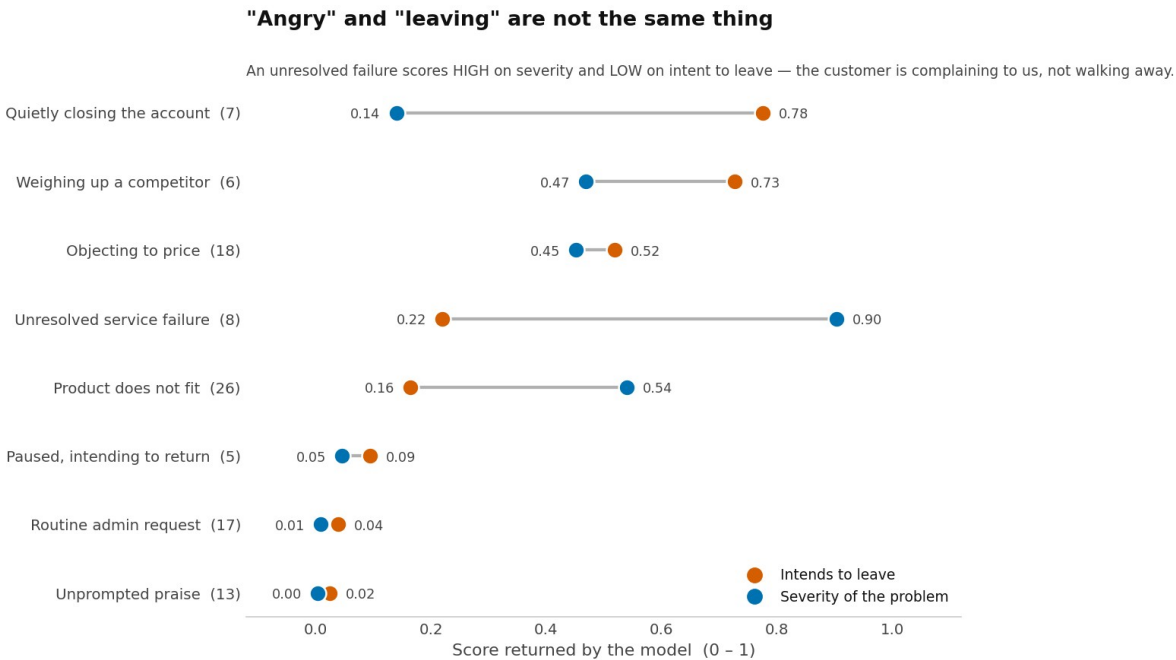
Customer messages are illustrative sample text, not real customer data. Replace with real support and survey data before acting on named accounts.

How the Model Read Your Customers

Every customer message scored on two separate questions



Each dot is a customer. Across: what their buying history shows. Up: what they told us. The shaded corner holds customers who are still buying normally while saying they are unhappy — the group a behavioural model cannot surface.

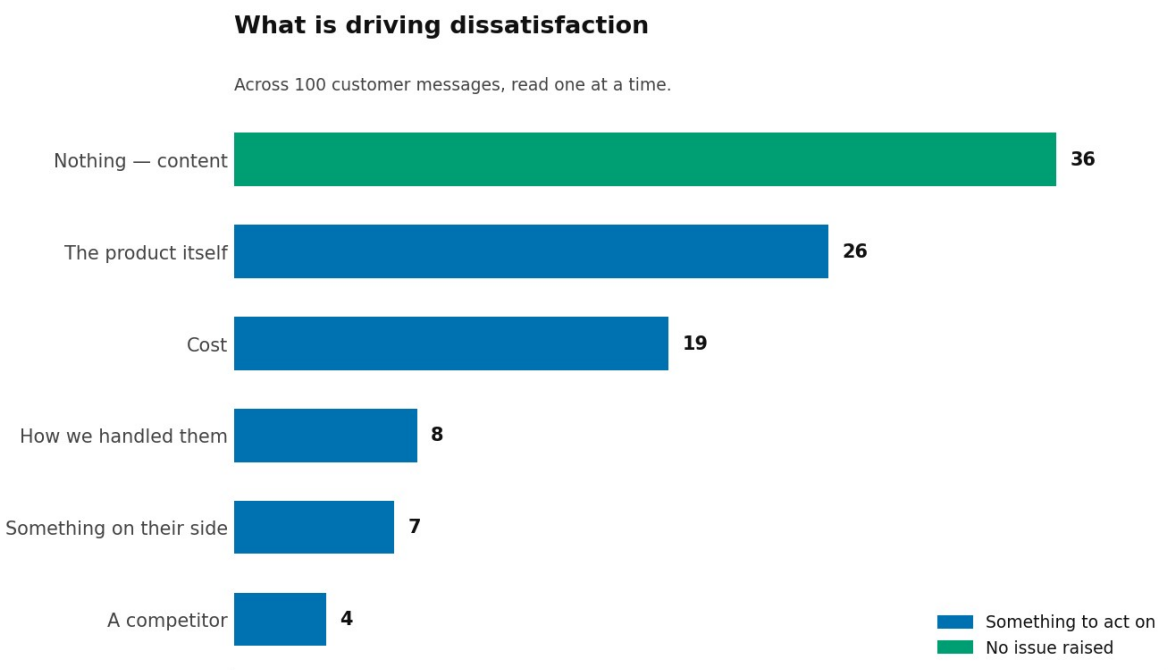


The two questions do not move together. An unresolved failure scores near the top on severity and near the bottom on intent to leave: those customers are complaining to us, not walking away. Treating the two as one number hides both.

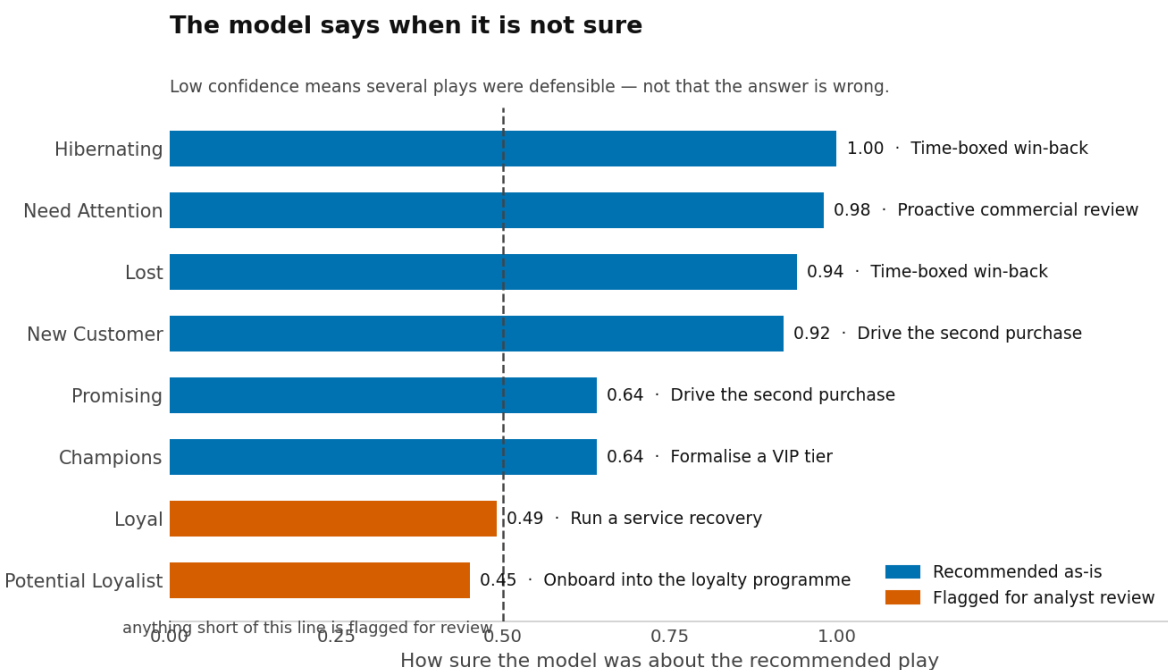
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What It Found, and How Sure It Was

The reasons behind the numbers, and where the model declined to commit



Each message was sorted into a single dominant reason. Just over a third raised no issue at all, which is itself useful: it separates the genuinely content from the merely quiet.



The model reports its own certainty. Where one play was clearly right it says so; where several were defensible it does not pretend otherwise, and those go to an analyst rather than onto a recommendation slide.

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Strategic Recommendations

Plays selected against current data, highest portfolio value first

DEFEND • CHAMPIONS

Formalise a VIP tier

- Dedicated contact, early access, exclusive pricing
- 7 customers • \$9,882 CLV • Account management
- Urgency 0.2 of 3 • confidence 0.64

GROW • POTENTIAL LOYALIST

Onboard into the loyalty programme

- Structured nurture into the loyalty programme
- 15 customers • \$8,992 CLV • Email campaign
- Urgency 0.5 of 3 • ANALYST REVIEW • confidence 0.45

DEFEND • LOYAL

Run a service recovery

- Name the failure, fix it, compensate, close the loop
- 8 customers • \$6,655 CLV • Human — manager
- Urgency 0.6 of 3 • ANALYST REVIEW • confidence 0.49

RECOVER • HIBERNATING

Time-boxed win-back

- Expiring reactivation offer, with a control group
- 20 customers • \$3,842 CLV • Email campaign
- Urgency 1.9 of 3 • confidence 1.00

Next Steps

Proposed 90-day roadmap to operationalise findings

Days 1–30 Foundation

- Validate RFM scores against CRM and transaction data
- Socialise segmentation with Marketing, CRM, and Analytics teams
- Define success metrics and baseline KPIs per segment
- Brief CRM team on Champions & Loyal VIP programme design

Days 31–60 Activation

- Launch Hibernating win-back email sequence (test vs. control)
- Deploy second-purchase incentive to New Customer cohort
- Onboard Promising customers into loyalty programme
- Set up monthly RFM refresh cadence in data pipeline

Days 61–90 Optimise

- Review win-back programme results — iterate messaging and offer
- Track segment migration rates vs. targets
- Present first monthly CLV dashboard to leadership
- Define Phase 2 scope: predictive churn modelling, CLV uplift testing

Appendix — Full Segment Data

Source: rfm_analysis.csv | 100 customers | Analysis date: March 2026

Segment	#	% Base	Avg CLV	Total CLV	Avg Recency	Avg	Avg Monetary
Champions	7	7%	\$1,412	\$9,882	30.0 days	4.6x	\$3,396
Loyal	8	8%	\$832	\$6,655	62.0 days	3x	\$2,144
Potential Loyalist	15	15%	\$599	\$8,992	67.0 days	2x	\$1,443
Need Attention	5	5%	\$512	\$2,562	134.0	2x	\$1,487
New Customer	10	10%	\$271	\$2,706	88.0 days	1x	\$693
Promising	15	15%	\$244	\$3,654	147.0	1x	\$731
Hibernating	20	20%	\$192	\$3,842	230.0	1x	\$725
Lost	20	20%	\$142	\$2,843	333.0 days	1x	\$710

How This Was Built

Reading customer language without training a model

WHAT WE ASKED

Five plain questions about each customer message

- Are they signalling they want to leave?
- How serious is the problem?
- What is driving it — service, price, the product, a competitor?
- Could we still keep them if we acted now?
- Does this need a person, or a campaign?
- Answers come back as numbers, so ordinary code can use them.

WHY NOT A TRAINED MODEL

The usual approach did not fit the problem we had

- A trained classifier learns from examples. It needs thousands of messages, each labelled by hand.
- We have 100 customers and no labels at all.
- Every new question would mean another labelled set and another training run. Here it took minutes.
- Our first scoring rule was wrong. Fixing it cost nothing, because the answers were already saved.

WHAT STAYED ORDINARY CODE

The model never touches a single calculation

- Every number is plain arithmetic: the scores, the lifetime value, the thresholds, the weights.
- The model reads meaning. Code owns every calculation that follows.
- This is the step before machine learning, not a replacement for it.
- Pair enough of these judgments with real outcomes and they become inputs to a conventional model.

The model reports how sure it is — 2 of 8 plays fell below our confidence bar and are flagged for review.

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